

Initiating Coverage Equity Research Report

Bamburi



COMPANY INFORMATION

Company: Bamburi
 Industry: Cement
 CEO: Mr. S Hassani
 Headquarters: Nairobi
 Exchange : Nairobi SE
 Ticker : NSE: BAMB

A market leading East African cement company

VALUATION

(20th Jan 2021)

Opinion: BUY
 Current Price: 44.9 KES
 Intrinsic Price: 62.5 KES
 Upside: 39.2%
 52 Week High: 72.50 KES
 52 Week Low: 19.05 KES

KEY METRICS

(20th Jan 2021)

Market Cap: \$147.9m
 EV/Revenue: 0.49
 EV/EBITDA: 5.49
 P/E: 64.44
 EV (\$) /Ton of Capacity: 31
 EPS: 0.61

STOCK PERFORMANCE



Strengths

- Strong market position
- Improving operational efficiencies

Weaknesses

- Low Profit margins

Opportunities

- Strong economic growth in both Kenya and Uganda
- Increase in grinding capacity

Threats

- Increasing number of competitors
- Economic Slowdown

Key Ratios	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
EBITDA Margin	25%	16%	7%	10%	9%	12%	13%	14%	15%	16%
Net Profit Margin	15%	5%	2%	1%	1%	4%	5%	6%	7%	8%
Price/Book	1.8	1.9	1.4	0.8	0.5					
ROCE	27%	13%	2%	3%	3%	8%	8%	10%	12%	13%
ROE	20%	6%	2%	1%	1%	5%	5%	7%	8%	9%
Economic Asset Profitability	26%	10%	2%	3%	2%	6%	7%	8%	10%	12%
Shareholders Equity Profitability	20%	6%	2%	1%	1%	5%	5%	7%	8%	9%
Economic Asset Turnover Rate	1.7x	1.2x	1.1x	1.1x	1.0x	1.2x	1.2x	1.2x	1.3x	1.4x

All figures in this report are presented in local currency
 (KES)

Income Statement (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
Revenue	38,281	35,974	37,262	36,796	34,267	39,130	38,457	40,988	43,688	45,992
Kenya	24,325	19,594	23,428	22,290	20,560	22,205	23,537	24,949	26,446	27,716
Uganda	16,773	16,380	14,214	14,578	13,707	16,925	14,919	16,038	17,241	18,276
COGS	(24,969)	(24,555)	(28,777)	(29,168)	(27,414)	(30,130)	(29,323)	(30,946)	(32,657)	(34,034)
Gross Profit	13,312	11,419	8,485	7,628	6,853	9,000	9,133	10,042	11,031	11,958
Other SG&A	(1,417)	(2,331)	(1,925)	(1,240)	(1,062)	(1,213)	(1,192)	(1,271)	(1,354)	(1,426)
Marketing & Sales Expense	(594)	(908)	(1,002)	(783)	(685)	(783)	(769)	(820)	(874)	(920)
Administration Expense	(1,719)	(2,304)	(2,780)	(1,820)	(2,056)	(2,250)	(2,115)	(2,152)	(2,184)	(2,185)
EBITDA	9,582	5,876	2,778	3,785	3,050	4,754	5,057	5,800	6,619	7,428
D&A	(1,587)	(1,647)	(2,003)	(2,668)	(2,144)	(2,124)	(2,121)	(2,116)	(2,120)	(2,131)
EBIT	7,995	4,229	775	1,117	906	2,630	2,936	3,684	4,499	5,296
Net Financial Income	276	(113)	(155)	(389)	(569)	(548)	(524)	(490)	(454)	(414)
Income before Tax	8,271	4,116	620	728	337	2,082	2,412	3,194	4,045	4,882
Tax	(2,381)	(2,143)	(48)	(369)	(84)	(520)	(603)	(799)	(1,011)	(1,221)
Net Income	5,890	1,973	572	359	253	1,561	1,809	2,396	3,034	3,662

Balance Sheet (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
ASSETS										
Non-Current Assets										
Property, Plant and Equipment	21,093	32,502	36,224	35,003	34,034	33,283	32,555	31,954	31,479	31,108
Other	718	1,194	1,689	1,963	2,605	3,305	3,950	4,607	5,279	5,956
Total Non-Current Assets	21,811	33,696	37,913	36,966	36,638	36,588	36,505	36,561	36,757	37,064
Current Assets										
Inventories	6,331	5,422	6,862	5,821	5,625	6,154	5,994	6,300	6,606	6,886
Trade and Other Receivables	5,529	4,379	2,653	2,515	2,341	2,680	2,634	2,807	2,984	3,150
Cash and Equivalents	6,972	3,490	2,366	3,106	4,126	5,354	7,063	8,821	10,838	13,429
Other	168	65	352	650	650	650	650	650	650	650
Total Current Assets	19,000	13,356	12,233	12,092	12,742	14,838	16,341	18,578	21,078	24,115
Other	0	0	0	27	27	27	27	27	27	27
Total Assets	40,811	47,052	50,146	49,058	49,380	51,426	52,846	55,139	57,836	61,179
EQUITY AND LIABILITIES										
Equity										
Other	7,257	11,409	11,679	11,452	11,452	11,452	11,452	11,452	11,452	11,452
Retained Earnings	19,148	17,857	17,897	17,251	17,474	18,364	19,420	20,815	22,580	24,706
Equity Attributable to owners of the company	26,405	29,266	29,576	28,703	28,926	29,816	30,872	32,267	34,032	36,158
Non Controlling Interests	3,414	3,783	3,694	3,429	3,459	3,662	3,873	4,154	4,513	4,949
Total Equity	29,819	33,049	33,270	32,132	32,385	33,478	34,744	36,421	38,545	41,108
Non-Current Liabilities										
Other	3,946	5,870	5,443	5,668	5,668	5,668	5,668	5,668	5,668	5,668
Long Term Borrowings	0	0	2,010	2,056	2,056	2,056	2,056	2,056	2,056	2,056
Lease Liabilities	0	0	0	448	748	1,091	1,333	1,528	1,965	2,425
Total Non-Current Liabilities	3,946	5,870	7,453	8,172	8,472	8,815	9,057	9,252	9,689	10,149
Current Liabilities										
Bank Overdrafts	0	1,450	1,403	1,772	1,772	1,772	1,772	1,772	1,772	1,772
Trade and Other Payables	6,883	6,096	7,815	6,655	6,429	7,033	6,850	7,200	7,550	7,870
Other	163	587	205	354	350	355	450	521	307	307
Total Current Liabilities	7,046	8,133	9,423	8,781	8,551	9,160	9,072	9,493	9,629	9,949
Total Equity and Liabilities	40,811	47,052	50,146	49,085	49,407	51,453	52,873	55,166	57,863	61,206

Cash Flow Statement (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
Income before Tax	8,271	4,116	680	728	337	2,082	2,412	3,194	4,045	4,882
Depreciation of PP&E	1,557	1,621	1,882	2,327	2,100	2,042	1,997	1,953	1,917	1,889
Other Adjustments	(306)	228	210	650	358	386	402	412	422	426
Operating Profit before WC Changes	9,522	5,780	2,723	3,630	2,796	4,510	4,812	5,559	6,384	7,197
Changes in Working Capital Balances	(2,708)	678	989	29	144	(264)	23	(130)	(133)	(126)
Cash generated from operations	6,814	6,458	3,712	3,659	2,940	4,246	4,835	5,430	6,251	7,071
Interest received	369	150	103	60	62	83	107	141	176	217
Interest paid	0	(25)	(197)	(327)	(308)	(308)	(308)	(308)	(308)	(308)
Tax Paid	(3,424)	(1,632)	(795)	(273)	(84)	(520)	(603)	(799)	(1,011)	(1,221)
Other Adjustments	(208)	0	0	0	0	0	0	0	0	0
Net Cash Generated from Operating Activities	3,551	4,951	2,823	3,119	2,609	3,500	4,030	4,464	5,107	5,759
Purchase of PP&E	(407)	(6,961)	(4,205)	(1,327)	(1,199)	(1,370)	(1,346)	(1,435)	(1,529)	(1,610)
Other Adjustments	(41)	120	(752)	308	(343)	(391)	(385)	(410)	(437)	(460)
Net Cash Generated in Investing Activities	(448)	(6,841)	(4,957)	(1,019)	(1,542)	(1,761)	(1,731)	(1,844)	(1,966)	(2,070)
Dividends paid to shareholders	(4,764)	(3,085)	(907)	(1,488)	0	(468)	(543)	(719)	(910)	(1,099)
Increase in long term debt	0	0	1,983	0	0	0	0	0	0	0
Other Adjustments	0	0	0	(253)	(47)	(43)	(48)	(143)	(214)	0
Net Cash Generated from Financing Activities	(4,764)	(3,085)	1,076	(1,741)	(47)	(511)	(591)	(862)	(1,124)	(1,099)
INCREASE/(DECREASE) IN CASH	(1,661)	(4,975)	(1,058)	359	1,020	1,228	1,709	1,758	2,017	2,591

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Business Overview

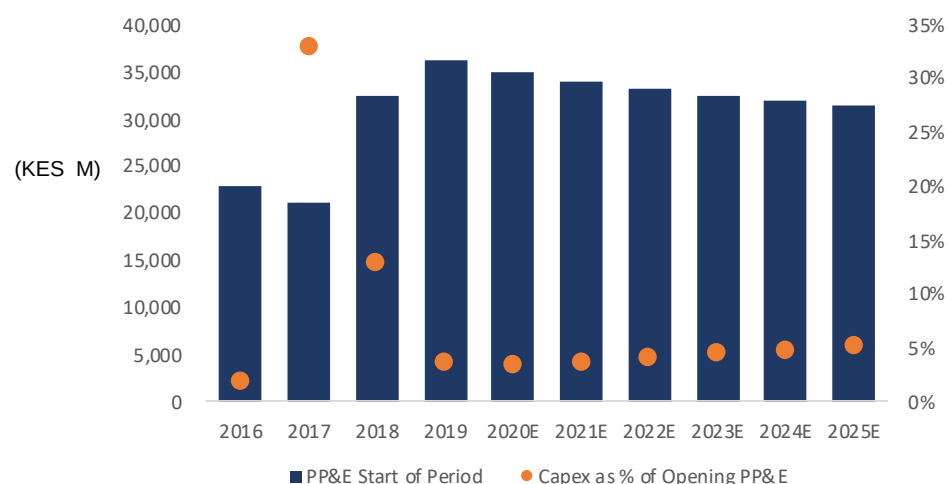
Operational in Kenya & Uganda

Bamburi is a market leading East African cement company. The company offers a wide range of cement and concrete products to satisfy customer demands and can deliver these products to the required site for an additional fee. Bamburi operates from sites in Kenya and Uganda. In Kenya, the company has a market leading cement grinding capacity of 3.2m tonnes per year. In Uganda, Hima Cement Limited, a subsidiary of Bamburi, has a grinding capacity of 1.7m tonnes per year. The Group also owns environmental parks and maintains quarries.

Investing for Growth Complete

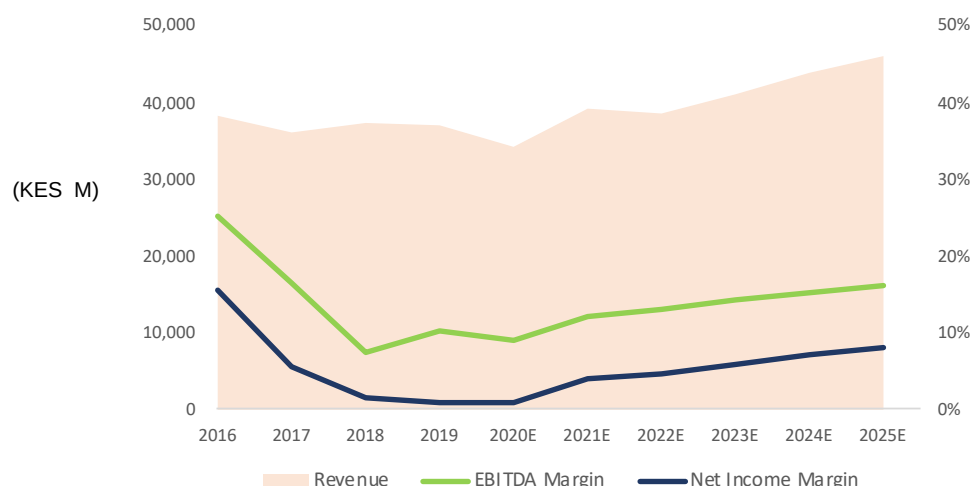
In 2017 & 2018, Bamburi substantially increased their production capacity. The Group increased their grinding capacity by 58% (from 3.1m tonnes per year to 4.9m). This was regarded as Bamburi's 'Investing for Growth' plan.

Chart 1: Capex as % of opening PP&E



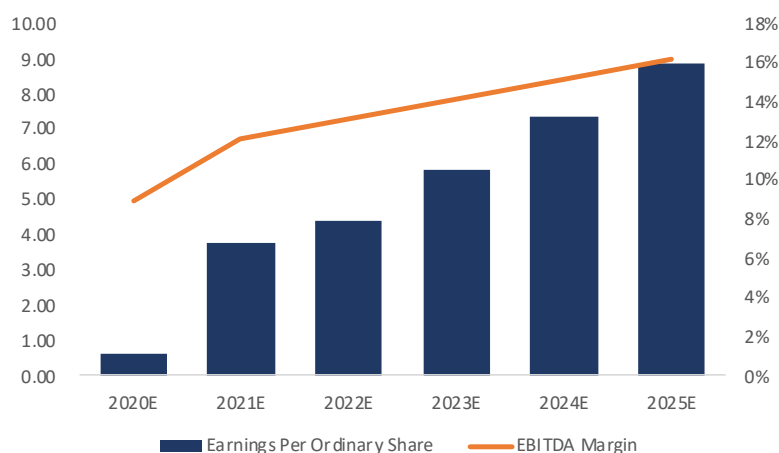
Source: Annual Reports and Hamilcar Capital Forecasts

As a result of the 'Investing for Growth' programme, PP&E capex was 6,961m KES in 2017 and 4,205m KES in 2018. This investment programme is now complete and we forecast PP&E expenditures to steady between 1,200m and 1,600m for the next five years, based on the industry standard of \$2 annual investment per ton of capacity.

Chart 2: EBITDA and Net Income Margins

Source: Annual Reports and Hamilcar Capital Forecasts

Due to the large amount of direct and indirect costs involved in the cement industry, net profit margin will always be thin. After reaching a high of 15% in 2016, the 2017 net profit margin reduced to 5.5%. This reduction can partially be attributed to a decline in revenue (top line down 2,307m, bottom line down 3,917m). However, Bamburi's net profit margin remained lower than 2% in 2018 and 2019. This has led management to pinpoint improving operating efficiencies as the key to increasing profitability. A 31% decline in administration expenses in 2019 shows the management's determination to control costs and increase profitability moving forward, and we forecast the net profit margin to increase from 1% in 2019 to 8% in 2025.

Chart 3: Earnings Per Share

Source: Annual Reports and Hamilcar Capital Forecasts

Bamburi will benefit from having both a low amount of debt employed and a lowering tax rate in Kenya (a decrease from 30% to 25% in 2020). This will enable earnings per share to rise in correlation with an increase in the EBITDA margin. EPS is forecasted to grow at a CAGR of 71% from 2020-2025.

Attractive EV/ton Entry Point

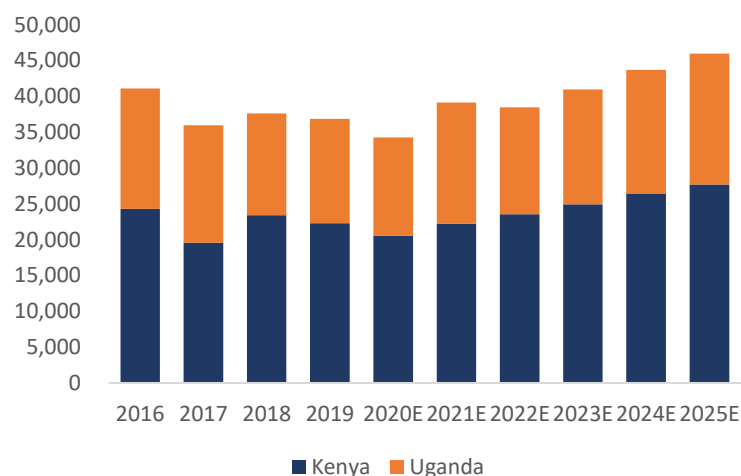
Bamburi's EV/ton ratio has decreased 83% from a high of USD179 in 2017 to USD31 in 2021.

This is due to a decrease in market cap and an increase in grinding capacity. The share price decreased from 72.50 KES in February 2020 to 20 KES in September, largely due to the effects of COVID-19. The 58% increase in grinding capacity from 2017-2020 further reduced the EV/Ton ratio.

The current USD31 ratio offers an attractive entry point for investors knowing that the replacement cost of a cement plant is in a range from USD60/ton of capacity (Chinese basis) to USD150/ton of capacity (European-US basis)

Money Making

Chart 4: Historical and Forecast Revenues (in KES millions)



Source: Annual Reports and Hamilcar Capital Forecasts

Revenues have stabilised over the last 4 years (high: 38,281m (2016), low: 35,974m (2017)). 59% of revenues have come from activities in Kenya over the same period. Revenues for Q1 & Q2 2020 were down 13% YoY as a result of government action in both countries in an attempt to curb the spread of COVID-19. Our forecasts (in line with industry expectations) expect a 1% revenue decline for the second half of 2020 (YoY). However, a welcome 13% decline in operating expenses (Jan-Jun 2020 YoY) has mitigated the decline in revenue, and we forecast a positive 2020 net income for the Group of 253m.

Hamilcar Capital forecast total group revenues to grow at a CAGR of 6% from 2020-2025. 2021 revenues will bounce back to pre-COVID levels in Kenya (approximately 22,000m per year) as cement producers will benefit from the government's 'Big Four' political and economic programme. Hima Cement will benefit from an increased demand for building materials in Uganda and revenues will subsequently grow at a CAGR of 5.9% for the same period (2020-2025). However, this growth would have been greater were it not for a new competitor (Moroto Cement) entering the market in 2022.

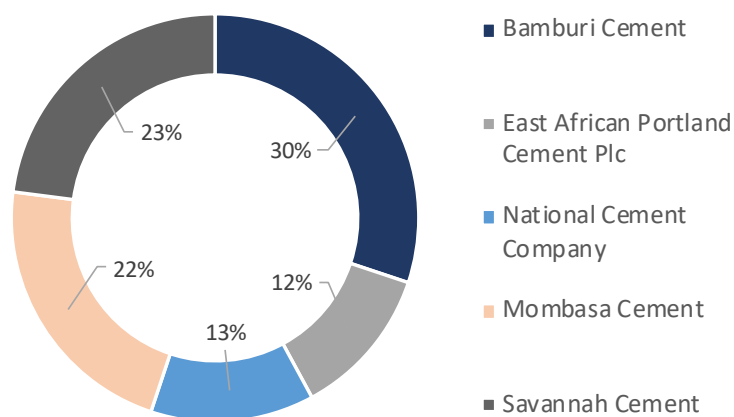
Market Overview

The cement market in East Africa remains competitive due to an excess supply and a number of competitors. This is especially apparent in Kenya, where cement consumption in 2019 (5.8m tonnes) was only 55% of total grinding capacity.

Kenya

The cement market in Kenya is heavily influenced by demand from government projects. For example, the termination of the Standard Gauge Railway project at phase 2B depressed the cement market and is one of the cited reasons for a decrease in revenue between 2018-2019. Bamburi was the lead cement supplier for the government's Standard Gauge Railway project, which will connect all of Kenya's biggest cities.

Chart 5: Kenya Market Share 2020



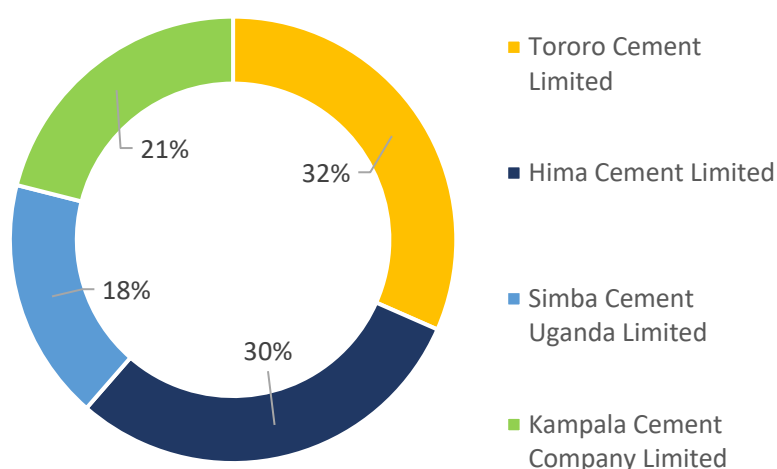
Source: *Hamilcar Capital*

In Kenya, Bamburi's grinding capacity is 3.2m tonnes (up from 2.3m in 2018). Bamburi is the market leader with a 30% market share when measured by grinding capacity. Bamburi faces competition from four competitors in Kenya, all of whom have looked to increase their grinding capacity in recent years. In 2019, the National Cement Company of Kenya purchased the assets of ARM Cement, who were once second only to Bamburi in market share. National Cement Company acquired all of ARM's Kenyan assets which enabled them to increase grinding capacity by 0.4m tonnes per year. ARM was put into administration by creditors with \$190m debt primarily because of a failed business expansion into Tanzania. Also in 2019, Savannah Cement doubled their grinding capacity from 1.2m tonnes per year to 2.4m. The Kenyan market was relieved to hear that the Nigerian manufacturer Dangote Cement decided to pull out of their initial plans to expand into Kenya. Dangote were also interested in acquiring ARM before the National Cement Company. Looking forward, the lack of import and export activity in the cement industry will protect the current market leaders from overseas competition.

Uganda

The cement market in Uganda had previously been dominated by Hima Cement (Bamburi's subsidiary) and Tororo Cement. The entry of Simba Cement (owned by the National Cement Company of Kenya) and Kampala Cement reduced Hima's control of the market - revenue subsequently declined by 13.2% in Uganda in 2018. The Ugandan government was transparent in their desire for new competitors to enter the market in order to reduce prices, and even threatened to allow imported cement to enter the country if the price did not decrease. Cement prices in Uganda have dropped 28% in the last 3 years.

Chart 6: Uganda Market Share 2020



Source: *Hamilcar Capital*

Tororo Cement just edges Hima in market share. However, both companies will have their market shares diluted by the arrival of a new competitor in 2022; in October 2020 Moroto Cement, a company owned by the Ugandan Development Corporation and Savannah Mines (51:49), announced the construction on a new facility with annual grinding capacity of 1.2m tonnes per year. When this project is completed (expected in 2022), Hima's market share will reduce to 24.6%. We therefore forecast a 12% decline in revenues for Hima in 2022, although this may be subject to change depending on the end construction date of Moroto's new site. Hima's revenues will return to an upward trajectory in 2023 after the initial market dilution.

Looking Forward

High barriers to entry in the cement industry typically protect the market shares of major cement companies. Moreover, the low levels of cement importation into either country prevent international competitors from obtaining domestic market share. Conflictingly, the arrival of a new competitor can have remarkable effects on the industry as shown by the changing landscape of the Ugandan market.

Risks to Business

Energy Prices

Bamburi is one of the biggest energy consumers in Kenya and volatile energy prices can have a direct effect on Bamburi's profitability. In 2019, energy costs were 8% of total Group revenues (2,855m). This was an 8% increase from the total energy cost in 2016 (2,648m). Energy prices in Kenya have historically been influenced by both demand and supply side shocks. There have been major attempts to diversify Kenya's sources of electricity, especially towards wind and other renewable sources. Bamburi continue to work with the government to obtain more reliable and cheaper prices.

COVID-19

The pandemic had a significant effect on activity in 2020. Total revenue for the first half of 2020 was 16,228m, down 13% YoY (2019:18,663m). Revenues for the second half of 2020 are forecast to be 1% down on the same period for 2019. Bamburi have donated supplies to workers at risk to the virus and has supported government measures to prevent the spread of the virus. The Kenyan government is a key source of projects for Bamburi; for example, the Standard Gauge Railway project in 2019. However, the initial implications of the pandemic have been a diversion of public spending towards fighting the outbreak of the virus. Long term effects of the virus on the cement industry in Kenya could include a decrease in demand as the government may have to move away from the planned 'Big Four' agenda, which would previously have directed government spending towards infrastructure projects which would have increased revenues for Bamburi. In November 2020, Managing Director Seddiq Hassani said he did not believe the pandemic would have any long-term implications on the increased demand for cement and that per head demand for cement could double as a result of the opportunities arising from the African Continental Free Trade Agreement (AfCFTA).

Health and Safety

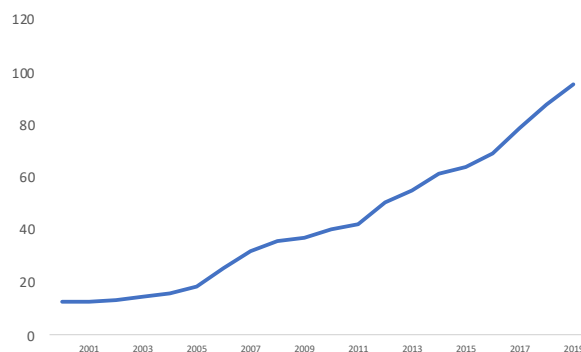
Health and Safety remains an important issue for Bamburi. In 2019, three road fatalities were recorded. This problem further manifests itself given the outbreak of COVID-19. Bamburi have ensured all staff have suitable protection. The outbreak of other virus', such as the Ebola virus in the Democratic Republic of the Congo (just 70km away from Hima's plant in the west of Uganda) could reduce company activity.

Weather

Heavy rains in the second half of 2019 depressed the market in both Kenya and Uganda. Bad weather effects the cement market in two ways: dry conditions can lead to droughts and slow down production. Conversely, heavy rains (as seen in 2019) can both affect the production sites and also slow down consumption by putting restrictions on the realistic construction activities.

Country Risk

Chart 7: Kenya GDP (2000-2019)



Source: World Bank

Kenya has experienced a decade of solid economic growth, with GDP growth averaging 10.83% between 2011-2019. The country is now the biggest economy in East Africa and its financial services have continued to improve. The Nairobi Securities Exchange now has a total market capitalization of \$22 billion and is able to attract capital from investors across the world. President Uhuru Kenyatta, who is currently serving his second (and final according to the constitution) term in office has focused his attention on the 'big four' political and economic programme. This agenda consists of delivering food security, affordable housing, more manufacturing and affordable healthcare to all Kenyans. The ability to implement this plan is largely thanks to a truce between President Kenyatta and his main political opponent Raila Odinga, who's 'famous' handshake in 2018 has acted as the bedrock for the political stability on which economic opportunities can grow from. Whilst critics of the current situation argue the current government is becoming a one-party state, this government has made a concerted effort to crackdown on the corruption allegations synonymous with many African countries. The innovation that has led to Kenya being named 'The Silicon Savannah' is expected to continue to attract foreign investment and increase household consumption in the country.

Uganda's economic growth has been slower than Kenya's over the last decade. GDP grew at an average 3% for the period 2011-2019. Uganda has been led by Yoweri Museveni since 1986, who won a controversial re-election in January. Throughout 2019, political tensions rose with neighbours Rwanda. This resulted in the border between the two countries being shut, disrupting cross-border business and trade between the two countries which effected business for Hima Cement. Rwanda is Hima's primary export market, contributing 16% of total revenues and 30% of total profits for the subsidiary. In February 2020, the two nations signed an extradition treaty which eased tensions between the neighbours.

Management Team and Culture

Table 1: Management Team

Management			
Name	Function	Year Started Role	Year joined Lafarge
Seddiq Hassani	Managing Director	2018	2001
Grace Oluoch	Finance Director	2018	2018
Kanyi Gitonga	Sales Director	2018	2014
Irene Naibo	HR Director	2018	2007
Laurent Noël	Growth Director	2017	2004
Moses Were	Supply Chain Manager	2018	2016

Source: Annual Reports

Many of the senior management team are new to their current roles but have worked for Bamburi's holding company (Lafarge) prior to starting their current position. Managing Director Seddiq Hassani has previously been CEO of Lafarge Gypsum Morocco and Lafarge's head of growth & Innovation for the Middle East and Africa. This culture of promotion runs through the company with Bamburi implementing a 'Talent Management Strategy' which entails making sure at least 70% of the critical positions in the company could be taken over by another current employee at a moment's notice. This target was increased to 85% for 2020.

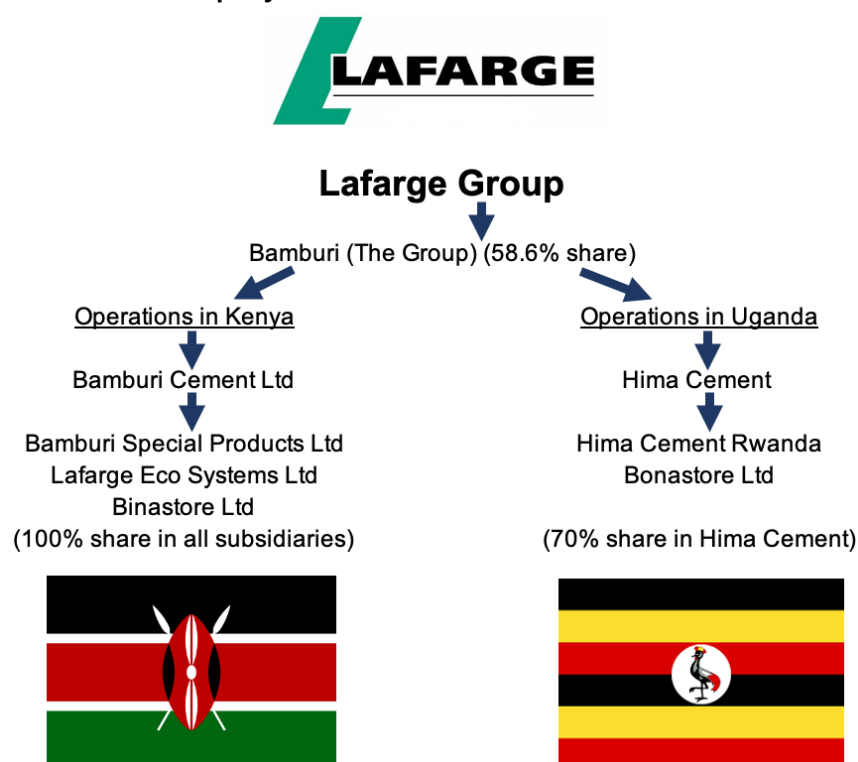
Bamburi's board of directors comprises 8 non-executive directors along with Hassani, Oluoch, Jean-Michel Pons (MD of Hima Cement) and a secretary. Dr John Simba serves as chairman of the board. He is also a member of the High Court of Kenya and Senior Partner at Simba & Simba. Executives who are also members of the board of directors are not paid for serving on the board. This is a Lafarge company policy. As a result, for executive directors, remuneration is covered purely by their role in the company. No non-executive directors have material interest in any contract with the group. The company does not have any long-term incentives or share option schemes for employees, and Hassani's notice period is only three months.

Worth Knowing

Lafarge Connection

Lafarge Group holds 58.6% of the outstanding shares in Bamburi through two subsidiary companies. Lafarge is the biggest cement producer in the world, contributing 24% of total global production in 2019. This relationship benefits Bamburi who have access to Lafarge's R&D centre in Lyon, France. Product innovation is critical to Bamburi maintaining a competitive advantage in the industry and the relationship with Lafarge enables Bamburi to improve products as well as manufacturing processes.

Chart 8: Company Structure



Bamburi Cement is known as 'The Company', with all other business segments acting as subsidiaries (together known as 'The Group'). 57.6% of 2019 total revenue (2018: 59.8%) for 'The Group' come from Bamburi Cement Ltd ('The Company'). Note that Bamburi Cement Limited is not the only revenue generating business segment that 'The Group' has in Kenya.

Hima Cement is the name of Bamburi's operating subsidiary in Uganda. Bamburi has a 70% share in the company. In Kenya, Bamburi Cement has two plants (located in Mombasa and Athi River). Hima Cement also has two plants, located in Kasese and Tororo. Hima's grinding capacity was optimized in 2019, meaning Bamburi Cement (Kenya) no longer needs to export to Uganda.

Products and Services

Bamburi offers the widest selection of cement and concrete products of any regional supplier.

Bamburi (the company) launched two new cement products in 2019. TEMBO CEM V and the DURACEM CEM III. TEMBO products are general purpose cements of medium strength that are regularly used in domestic projects. DURACEM products are stronger and typically used on coastal projects such as bridges. In Kenya, the TEMBO CEM V has the lowest carbon footprint of all competitor products

In Uganda, Hima Cement launched two new products named RAPIDSET and ROADCEM. RAPIDSET has proven to be superior to any other products in the market and is also relatively low cost. ROADCEM is an innovative product ideal for stabilization of road subbases and extending the life of gravel roads.

In total, The Group has ten cement product brands and three concrete product brands. Revenue from cement products contributed 91.5% of total 2019 revenues (2018: 91.1%). Bamburi also have a delivery service for these products. This is a loss-making revenue segment for Bamburi with transport service revenue covering only 40% of the transport expenses.

In addition to these core revenue segments, Bamburi also hosts over 160,000 visitors a year to Bamburi Haller Park and Bamburi Forest Trails, although these visits are primarily for educational and cultural purposes (rather than profitable) and subsequently contribute less than 0.5% of total Group revenues.

Financial Statement Notes

(All Historical Data comes from Annual Reports. All Forecasts are made by Hamilcar Capital)

Table 2: Income Statement

Income Statement (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
Revenue	38,281	35,974	37,262	36,796	34,267	39,130	38,457	40,988	43,688	45,992
Kenya	24,325	19,594	23,428	22,290	20,560	22,205	23,537	24,949	26,446	27,716
Uganda	16,773	16,380	14,214	14,578	13,707	16,925	14,919	16,038	17,241	18,276
COGS	(24,969)	(24,555)	(28,777)	(29,168)	(27,414)	(30,130)	(29,323)	(30,946)	(32,657)	(34,034)
Gross Profit	13,312	11,419	8,485	7,628	6,853	9,000	9,133	10,042	11,031	11,958
Other SG&A	(1,417)	(2,331)	(1,925)	(1,240)	(1,062)	(1,213)	(1,192)	(1,271)	(1,354)	(1,426)
Marketing & Sales Expense	(594)	(908)	(1,002)	(783)	(685)	(783)	(769)	(820)	(874)	(920)
Administration Expense	(1,719)	(2,304)	(2,780)	(1,820)	(2,056)	(2,250)	(2,115)	(2,152)	(2,184)	(2,185)
EBITDA	9,582	5,876	2,778	3,785	3,050	4,754	5,057	5,800	6,619	7,428
D&A	(1,587)	(1,647)	(2,003)	(2,668)	(2,144)	(2,124)	(2,121)	(2,116)	(2,120)	(2,131)
EBIT	7,995	4,229	775	1,117	906	2,630	2,936	3,684	4,499	5,296
Net Financial Income	276	(113)	(155)	(389)	(569)	(548)	(524)	(490)	(454)	(414)
Income before Tax	8,271	4,116	620	728	337	2,082	2,412	3,194	4,045	4,882
Tax	(2,381)	(2,143)	(48)	(369)	(84)	(520)	(603)	(799)	(1,011)	(1,221)
Net Income	5,890	1,973	572	359	253	1,561	1,809	2,396	3,034	3,662
Gross Profit Margin	35%	32%	23%	21%	20%	23%	24%	25%	25%	26%
EBITDA Margin	25%	16%	7%	10%	9%	12%	13%	14%	15%	16%
Net Income Margin	15%	5%	2%	1%	1%	4%	5%	6%	7%	8%

Revenue

From 2016-2019, 60% of revenues came from operations in Kenya. These are almost completely from Bamburi Cement Ltd, although wholly owned subsidiaries 'Lafarge Eco Systems' and 'Binastore' also contribute a small percentage of revenues. For The Group, 4% of total 2019 revenues came from Transport services (2018: 4.6%). This is a loss making business operation. In Uganda, the 13.2% decline in revenues in 2018 is attributed to Simba Cement and Kampala Cement entering the market and diluting Hima's market share.

Hamilcar are forecasting a 6.9% decline in revenue for 2020. This is due to the disruption of COVID-19. Unaudited company statements for the first half of 2020 show a 13% decline for the period (YoY). In Kenya, revenues will bounce back to pre-COVID levels in 2021 as the cement industry benefits from the government's 'Big Four' political and economic agenda. Revenues will subsequently grow at a CAGR of 5.7% for the country from 2021-2025. In Uganda, revenues will grow at 23.5% in 2021 as the economy bounces back from COVID-19. However, revenue will decline in 2022 due to Moroto Cement entering the market with a new facility. Over the forecasted period however, Hima Cement's revenues will grow at a CAGR of 6%.

COGS

Cost of Goods Sold (less depreciation) has increased from 65% of total revenues in 2016 to 79% in 2019. Management have identified this as a problem and cost optimization is now a pillar of the 'Building for Growth' strategy that is being implemented. We therefore forecast the gross profit margin to improve from 21% in 2019 to 26% in 2025.

Operating Expenses

Total Operating Expenses (as % of revenue) decreased from 15% in 2018 to 10.4% in 2019. This was primarily driven by a 35% decrease in administration expenses. This was also part of the 'Building for Growth' cost optimization strategy. We expect total operating expenses to remain relatively flat over the forecast period given the current optimization level.

EBITDA

The decline in EBITDA margin from 2016-2018 is largely attributed to an increase in operating expenses and COGS. Management decreased operating expenses in 2019 which led to an increase in the EBITDA margin from 7% to 10%. This margin will continue to improve for the forecast period as revenues increase.

Net Financial Income

Financial Income as a percentage of total Cash & Cash Equivalents (for the start of each period) has consistently sat between 2% and 3%. This figure therefore declined in 2017 (150m) and 2018 (103m) before reaching a low in 2019 (60) due to heavy capital expenditure which was primarily financed by cash. We forecast this financial income figure to be 2% of total Cash & Cash Equivalents for the forecasted period. Bamburi pay a 15% interest rate on long term borrowings. An increase in long term borrowings and bank overdrafts in 2017 and 2018 led to an increase in financial expenses. This turned net financial income negative in 2017. However, we do not anticipate this figure to grow any further, and the total net financial income deficit will decrease from 569 in 2020 to 414 in 2025.

Tax

The Kenyan tax rate has been 30% from 2016-2019. However, this has been decreased to 25%. This new rate will be effective for 2020.

Net Income

Despite remaining positive for the historical period, net income has significantly declined from a high of 5,890m in 2016 to a forecasted 253m in 2020. We anticipate net income to grow at a CAGR of 71% from 2020 to 2025, driven by an increase in revenue, optimized operational efficiencies and a lower corporate tax rate.

Earnings Per Share

Table 3: EPS

Earnings Per Share (EPS)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
Net income attributable to minority interest	647	326	(289)	(274)	30	203	211	281	359	437
Total net income attributable to owners	5,243	1,647	861	633	223	1,359	1,599	2,114	2,674	3,225
Number of Ordinary Shares Outstanding	363	363	363	363	363	363	363	363	363	363
EPS for shareholders of the parent co	14.44	4.54	2.37	1.74	0.61	3.74	4.40	5.83	7.37	8.89

Net income attributable to the minority interest was negative in 2018 and 2019. This was because Hima Cement did not turn a profit for those years. We forecast Hima Cement to turn a profit in 2020, meaning net income attributable to owners of the parent company will be diluted by the 30% minority interest in Hima Cement. Bamburi does not have any employee stock options schemes, so we do not forecast a dilution in the number of ordinary shares outstanding.

Table 4: Balance Sheet

Balance Sheet (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
ASSETS										
Non-Current Assets										
Property, Plant and Equipment	21,093	32,502	36,224	35,003	34,034	33,283	32,555	31,954	31,479	31,108
Other	718	1,194	1,689	1,963	2,605	3,305	3,950	4,607	5,279	5,956
Total Non-Current Assets	21,811	33,696	37,913	36,966	36,638	36,588	36,505	36,561	36,757	37,064
Current Assets										
Inventories	6,331	5,422	6,862	5,821	5,625	6,154	5,994	6,300	6,606	6,886
Trade and Other Receivables	5,529	4,379	2,653	2,515	2,341	2,680	2,634	2,807	2,984	3,150
Cash and Equivalents	6,972	3,490	2,366	3,106	4,126	5,354	7,063	8,821	10,838	13,429
EQUITY AND LIABILITIES										
Equity										
Other	7,257	11,409	11,679	11,452	11,452	11,452	11,452	11,452	11,452	11,452
Retained Earnings	19,148	17,857	17,897	17,251	17,474	18,364	19,420	20,815	22,580	24,706
Equity Attributable to owners of the company	26,405	29,266	29,576	28,703	28,926	29,816	30,872	32,267	34,032	36,158
Non Controlling Interests	3,414	3,783	3,694	3,429	3,459	3,662	3,873	4,154	4,513	4,949
Total Equity	29,819	33,049	33,270	32,132	32,385	33,478	34,744	36,421	38,545	41,108
Non-Current Liabilities										
Other	3,946	5,870	5,443	5,668	5,668	5,668	5,668	5,668	5,668	5,668
Long Term Borrowings	0	0	2,010	2,056	2,056	2,056	2,056	2,056	2,056	2,056
Lease Liabilities	0	0	0	448	748	1,091	1,333	1,528	1,965	2,425
Total Non-Current Liabilities	3,946	5,870	7,453	8,172	8,472	8,815	9,057	9,252	9,689	10,149
Current Liabilities										
Bank Overdrafts	0	1,450	1,403	1,772	1,772	1,772	1,772	1,772	1,772	1,772
Trade and Other Payables	6,883	6,096	7,815	6,655	6,429	7,033	6,850	7,200	7,550	7,870
Other	163	587	205	354	350	355	450	521	307	307
Total Current Liabilities	7,046	8,133	9,423	8,781	8,551	9,160	9,072	9,493	9,629	9,949
Total Equity and Liabilities	40,811	47,052	50,146	49,085	49,407	51,453	52,873	55,166	57,863	61,206

Assets

As previously discussed, PP&E increased in 2017 and 2018 as The Group implemented the 'Investing for Growth' plan. We forecast an annual depreciation expense of 6% as a percentage of the period's opening PP&E value (2018 & 2019: 6%). This will lead to a steady decrease in the carrying value of PP&E over the forecasted period. Cash & Equivalents decreased in 2017 due to this capital outlay but is expected to grow throughout the forecasted period thanks to improved bottom line result.

Inventory Days have decreased from a high of 87 in 2016 to 67 in 2019. We forecast inventory days to settle at 70. Management have also improved Receivable Days from 53 in 2016 to 25 in 2019. We forecast this figure to remain at 25 for the future period. The improved efficiency of the inventory and receivable days is a result of management's focus on improving operational efficiencies.

Liabilities

Long term borrowings moved to 2,010m in 2018. This was mostly to help finance the capital expenditure programme in Uganda (the loan was taken out by Hima Cement) and comes due in 2026. Bamburi pay a 15% interest rate. We do not anticipate an increase in long term borrowings. Lease Liabilities increased in 2019 as a result of the new application of IFRS accounting standards. We anticipate only a small percentage of capital expenditure to be financed through leases in the coming years.

Payable days decreased from 93 in 2018 to 77 in 2019. We forecast payable days to steady at 80 for the forecast period.

Table 5: Cash Flow Statement

Cash Flow Statement (m)	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E
Income before Tax	8,271	4,116	680	728	337	2,082	2,412	3,194	4,045	4,882
Depreciation of PP&E	1,557	1,621	1,882	2,327	2,100	2,042	1,997	1,953	1,917	1,889
Other Adjustments	(306)	228	210	650	358	386	402	412	422	426
Operating Profit before WC Changes	9,522	5,780	2,723	3,630	2,796	4,510	4,812	5,559	6,384	7,197
Changes in Working Capital Balances	(2,708)	678	989	29	144	(264)	23	(130)	(133)	(126)
Cash generated from operations	6,814	6,458	3,712	3,659	2,940	4,246	4,835	5,430	6,251	7,071
Interest received	369	150	103	60	62	83	107	141	176	217
Interest paid	0	(25)	(197)	(327)	(308)	(308)	(308)	(308)	(308)	(308)
Tax Paid	(3,424)	(1,632)	(795)	(273)	(84)	(520)	(603)	(799)	(1,011)	(1,221)
Other Adjustments	(208)	0	0	0	0	0	0	0	0	0
Net Cash Generated from Operating Activities	3,551	4,951	2,823	3,119	2,609	3,500	4,030	4,464	5,107	5,759
Purchase of PP&E	(407)	(6,961)	(4,205)	(1,327)	(1,199)	(1,370)	(1,346)	(1,435)	(1,529)	(1,610)
Other Adjustments	(41)	120	(752)	308	(343)	(391)	(385)	(410)	(437)	(460)
Net Cash Generated in Investing Activities	(448)	(6,841)	(4,957)	(1,019)	(1,542)	(1,761)	(1,731)	(1,844)	(1,966)	(2,070)
Dividends paid to shareholders	(4,764)	(3,085)	(907)	(1,488)	0	(468)	(543)	(719)	(910)	(1,099)
Increase in long term debt	0	0	1,983	0	0	0	0	0	0	0
Other Adjustments	0	0	0	(253)	(47)	(43)	(48)	(143)	(214)	0
Net Cash Generated from Financing Activities	(4,764)	(3,085)	1,076	(1,741)	(47)	(511)	(591)	(862)	(1,124)	(1,099)
INCREASE/(DECREASE) IN CASH	(1,661)	(4,975)	(1,058)	359	1,020	1,228	1,709	1,758	2,017	2,591

Cash Flow from Operating Activities

Depreciation increased in 2019 due to an increase in PP&E. We expect total adjustments to stabilize as those individual charges are not expected to be volatile in the coming 5-year period. Interest received also declined throughout the historical period due to less cash in the bank. We have not forecast forex gains/losses. The working capital deficit in 2016 was attributed to the payment of employee benefit liabilities. We forecast working capital balances to steady due to the optimization of accounts receivable, inventory and accounts payable days (as discussed in the balance sheet section)

Cash Flow from Investing Activities

Capital expenditure has been discussed in previous sections.

Cash Flow from Financing Activities

The Group dividend has been consistently high for the historical period, but management have said they do not anticipate paying a dividend in 2020 due to the lower net income. We have forecast a 30% dividend pay-out ratio (as a percentage of Net Income), although it is difficult to predict this figure. The increase in long term debt in 2018 was taken out by Hima Cement in order to finance capital expenditure. The rest of the capital expenditure was financed by cash. We do not anticipate an increase in long term debt or share capital.

Valuation

We place a strong BUY rating on Bamburi's stock with a share price valuation of 62.5 KES, a 39.2% upside on the current price. This has been calculated using a DCF, comparable analysis and historical multiple valuations.

Table 6: FCFF

Free Cash Flow to Firm (FCFF)	2021E	2022E	2023E	2024E	2025E
Operating Profit (EBIT)	2,630	2,936	3,684	4,499	5,296
Less: Unlevered Taxes	(658)	(734)	(921)	(1,125)	(1,324)
Net Operating Profit after Tax (NOPAT)	1,973	2,202	2,763	3,374	3,972
Plus: D&A	2,124	2,121	2,116	2,120	2,131
Plus: Other non cash expenses					
Plus: Changes in Net Working Capital	(264)	23	(130)	(133)	(126)
Minus: Cash Capex	(1,761)	(1,731)	(1,844)	(1,966)	(2,070)
Free Cash Flow to Firm (FCFF)	2,072	2,616	2,905	3,395	3,908

From 2020-2025, FCFF will increase at a CAGR of 22%. Note cash capex includes purchase of intangible assets, not just PP&E.

WACC

The weighted average cost of capital for Bamburi is 19.5%. Cost of Equity is calculated using a risk-free rate of 11.85, an equity risk premium of 10.05 and a Beta of 0.89. Cost of debt is 9%.

Terminal Value

In the DCF model, terminal value is calculated using an average between EV/EBITDA exit multiple value and a Terminal Growth rate value (50% weighting for each value)

Table 7: Exit Multiple and Discount Rate Sensitivity

		Intrinsic Value				
		Discount Rate				
		17.5%	18.5%	19.5%	20.5%	21.5%
Exit Multiple	4x	59.0	55.9	53.1	50.5	48.1
	5x	63.6	60.3	57.3	54.6	52.0
	6x	68.2	64.7	61.5	58.6	55.9
	7x	72.8	69.1	65.8	62.7	59.8
	8x	77.4	73.5	70.0	66.7	63.7

For EV/EBITDA, we have used a 6x exit multiple (currently trading at 5.5x) and a 2025 EBITDA calculation of 7,428m. The sensitivity table below shows the change in the final intrinsic share price from a change in the exit multiple used.

Table 8: Terminal Growth Rate and Discount Rate Sensitivity

		Intrinsic Value				
		Discount Rate				
		17.5%	18.5%	19.5%	20.5%	21.5%
Terminal Growth Rate	2.0%	67.0	63.6	60.6	57.8	55.3
	2.5%	67.6	64.2	61.1	58.2	55.6
	3.0%	68.2	64.7	61.5	58.6	55.9
	3.5%	68.9	65.3	62.0	59.0	56.3
	4.0%	69.7	65.9	62.6	59.5	56.7

We have applied a 3% terminal growth rate. The sensitivity table below shows the change in the final intrinsic share price as a result of a change in the terminal growth rate. The DCF valuation method provides a share price valuation of 61.5 KES.

Comparables

Table 9: Comparable Companies

Company Name	Country	P/E	EV/Sales	EV/EBITDA	Revenue (USD)
Bamburi Cement Ltd	Kenya	64.4	0.5	5.5	311.7m
Afrimat Ltd	South Africa	12.8	1.8	7.7	216.7m
Arab Ceramic Co	Egypt	98.6	1.0	n/a	40.1m
Arabian Cement Co	Saudi Arabia	20.8	5.6	n/a	217m
Lafarge Africa	Nigeria	6.4	0.6	3.2	604m
Misr Cement	Egypt	21.0	0.7	7.7	165.3m
Sephaku Holdings Ltd	South Africa	(6.9)	0.6	n/a	38.8m
Average		15.3	0.9	6.2	
Median		16.8	0.7	7.7	

We have used 6 comparable companies from across the African continent for our analysis. Figures in red are omitted from the average and median calculations. The comparable companies show the volatile profitability of the cement industry; whilst EV/Sales and EV/EBITDA multiples remain relatively similar across all comparable companies, P/E multiples vary massively across the industry.

For our comparable valuations, we have applied the average comparable multiple valuations to Bamburi's forecasted 2020 financial statement figures. Therefore, we have taken the average comparable P/E multiple of 15.3 and multiplied it by Bamburi's 2020 EPS of 0.61, totalling 9.4 KES. Using the same formula, we have taken the average comparable EV/Sales multiple of 0.9 and multiplied this figure by Bamburi's 2020 forecasted Sales figure (34,267). We then subtracted net debt to arrive at a market cap of 31,607, before dividing this by the total number of shares outstanding to arrive at the share price valuation of 87.1 KES. We used the same method for the average comparable EV/EBITDA multiple which resulted in the share price valuation of 53.4 KES.

Historical Valuations.

EV/Sales

From 2016-2019, Bamburi's average revenue was 37,078m. We have multiplied this by the average comparable EV/Sales multiple as seen above. We then subtracted the net debt and divided this figure by the total number of shares outstanding, which remained constant at 363m. This valuation method led to a share price valuation of 94.3 KES.

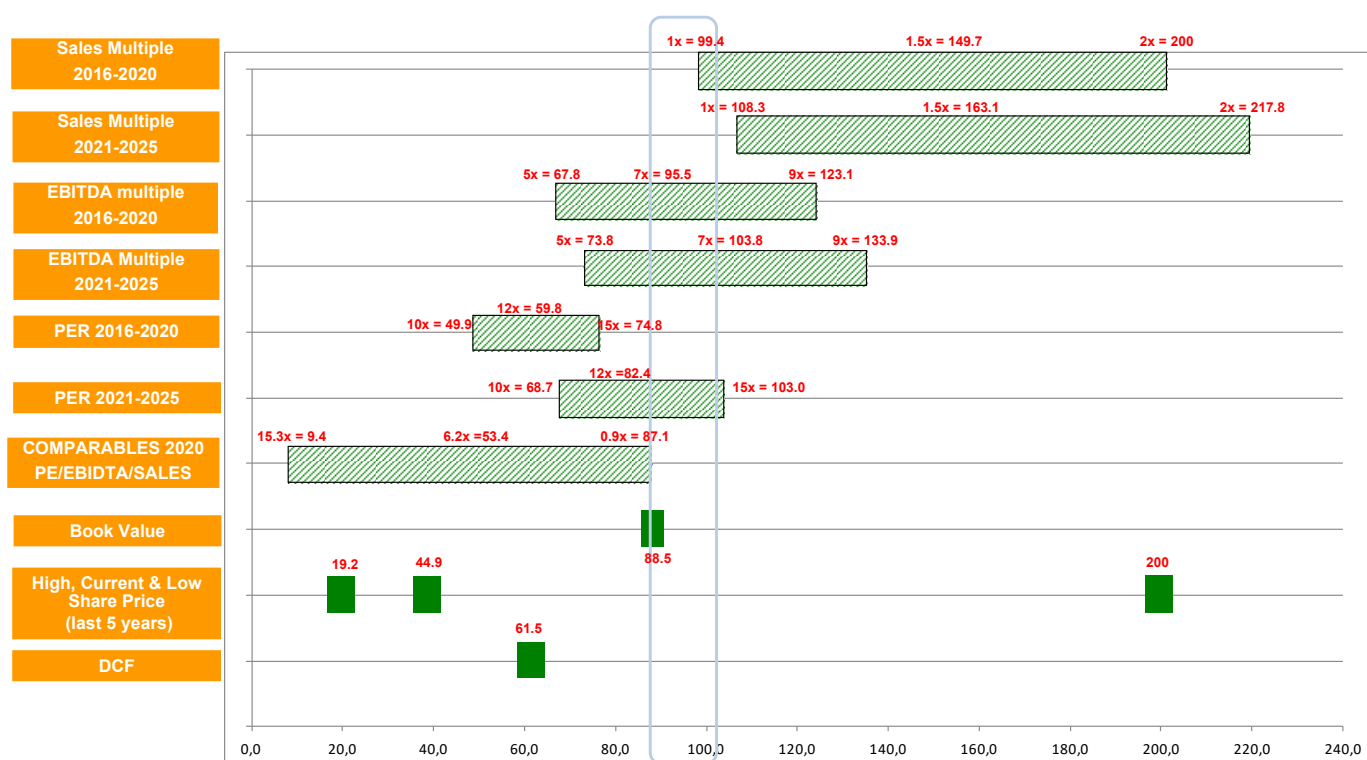
EV/EBITDA

From 2016-2019, Bamburi's average EBITDA was 5,505m. We then used the same method as above to calculate a share price valuation of 92.9 KES.

Price/Earnings

From 2016-2019, Bamburi's average EPS was 5.8. We multiplied this by the average comparable P/E ratio (15.3) to arrive at a share price valuation of 88.1 KES.

Chart 9: Further Valuation Analysis



Source: Hamilcar Capital

Chart 9 summarises the valuations from a variety of methods. We have placed a greater weighting on the valuation from the DCF approach to arrive at our final share price valuation of 62.5 KES.

Table 10: Final Valuation

Valuation Method	Weighting	Valuation	Contribution
DCF	50%	61.5	30.8
Comparable EV/Sales	5%	87.1	4.4
Comparable EV/EBITDA	15%	53.4	8.0
Comparable P/E	5%	9.4	0.5
Historical EV/Sales	5%	99.4	5.0
Historical EV/EBITDA	15%	67.8	10.2
Historical P/E	5%	74.8	3.7

Share Price	62.5
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	YES	NO
Current investment banking relationship		*
Previous investment banking relationship		*
Company holding		*
Related party holding		*
Analysts holding		*

About us

Hamilcar Capital, established in February 2013, specializes in **advisory services and investment management**.

Hamilcar aims to play an active role as an advisor or investor on behalf of third parties in African companies in difficulty which have a very strong growth potential after restructuring. Hamilcar primarily targets listed and unlisted companies that have the capacity to become pan-African leaders in their sectors.

Hamilcar is positioned in the following six sectors:

- **Building materials (wood, cement, etc.)**
- **Logistics, Transport, Warehousing**
- **Distribution**
- **Medical**
- **Renewable Energy**
- **Circular Economy (waste management, recovering and recycling)**

Hamilcar allows its strategic, financial and industrial investors to take equity and quasi-equity stakes in a significant minority or majority interests in companies with an enterprise value generally less than 100 million euros. These companies must have at least three years of existence, which objectively helps to assess their positioning in their respective market as well as their potential for growth.

Hamilcar carries out precise research on companies and sectors and conducts a rigorous study in financial modelling and asset valuation. Its team of experts in audit, asset management and investment banking bring a high level of added value to the management of target companies.

Hamilcar is constantly working on a proprietary deal-flow that provides access to targeted investment opportunities that offer significant return on investment for investors

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